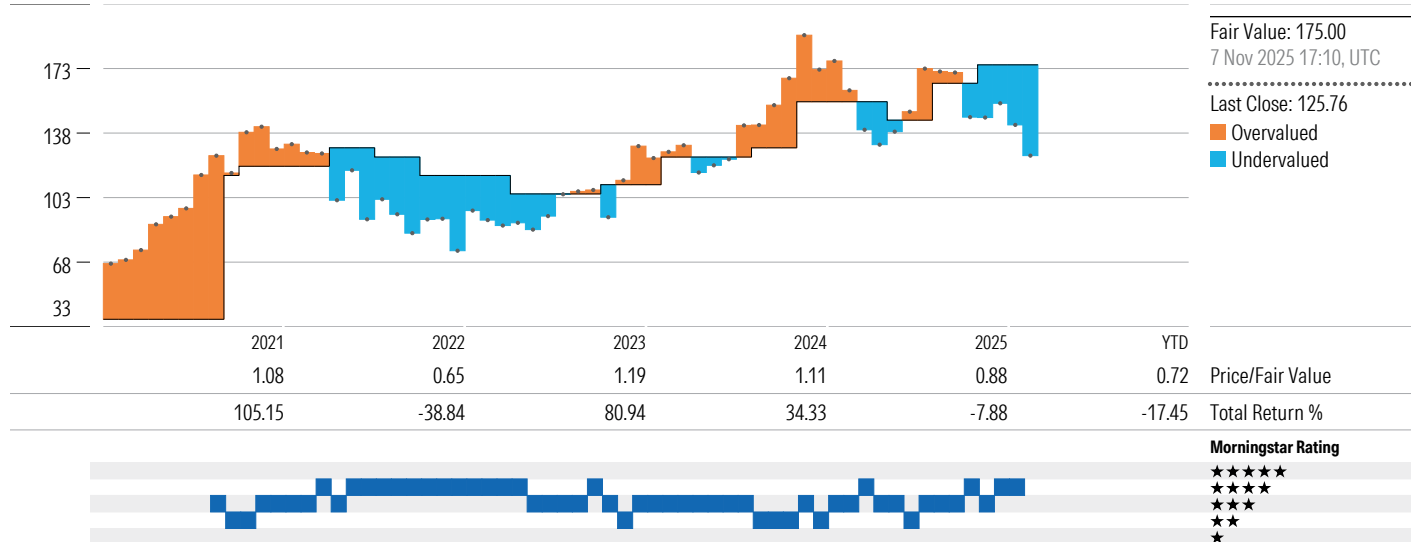


Blackstone Inc BX ★★★★★ 19 Feb 2026 22:33, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
125.76 USD 19 Feb 2026	175.00 USD 7 Nov 2025 23:10, UTC	0.72	98.49 USD Bil 19 Feb 2026	Wide	Large Blend	High	Standard	 7 Jan 2026 06:00, UTC

Price vs. Fair Value



Total Return % as of 19 Feb 2026. Last Close as of 19 Feb 2026. Fair Value as of 7 Nov 2025 17:10, UTC.

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Important Disclosure

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The primary analyst covering this company does not own its stock.

¹The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Alternative Asset Managers: Blue Owl Disclosure Drives Share Prices of Alternative Managers Lower

Analyst Note Gregory Warren, CFA, Senior Equity Analyst, 20 Feb 2026

Shares of the alternative asset managers we cover were down close to 5% to 10% Feb. 19 but did recover to low- to mid-single-digit declines, after Blue Owl announced it was permanently halting redemptions at a private credit fund aimed at retail investors.

Why it matters: The alternative asset managers took it on the chin after narrow-moat-rated Blue Owl announced it was halting redemptions at a private credit fund aimed at retail investors, reigniting concerns about the private credit market as well as raising questions about the suitability of illiquid private capital funds in the retail market.

- Blue Owl was hit the hardest, down just over 10% intraday, as the firm decided to permanently restrict investors from withdrawing their cash from one of its private debt funds.
- The firm announced that investors in Blue Owl Capital Corp II, or OBDC II, would no longer be able to make redemption requests from the fund in quarterly intervals but would have to wait for periodical payments as it sells down assets in the coming quarters and years.
- OBDC II has been closed to investor redemptions since November of last year, when the firm decided to abandon efforts to merge it with Blue Owl's larger publicly traded credit fund OBDC—a move that would have depleted the value of the holdings of wealthy investors in OBDC by up to 20%.
- At the time, Blue Owl had offered investors the ability to redeem cash every quarter at the fund's

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Sector	Industry
 Financial Services	Asset Management

Business Description

Blackstone is the world's largest alternative-asset manager with \$1.242 trillion in total asset under management, including \$906.2 billion in fee-earning assets under management, at the end of September 2025. The company operates with scale in each of its major product lines: private equity (26% of fee-earning AUM and 33% of base management fees), real estate/real assets (31% and 35%), private credit (34% and 25%), and other alternatives (9% and 7%). While the firm primarily serves institutional investors (84% of AUM), it also caters to clients in the high-net-worth channel (16%). Blackstone operates through 25 offices in the Americas (8), Europe and the Middle East (9), and the Asia-Pacific region (8).

stated value, generally up to 5% of net assets (similar to what we saw at Blackstone's private real estate fund a few years ago).

The bottom line: While we've not built much into our alternative asset manager valuation models for the growth of private capital funds in the retail market, this is a warning sign for the industry and the rule makers about the downside of illiquid funds for retail investors. That said, we will be taking a closer look at Blue Owl, which will likely be pressured by redemption requests in the near term.

Business Strategy & Outlook Gregory Warren, CFA, Senior Equity Analyst, 7 Nov 2025

We consider Blackstone to be the preeminent alternative-asset manager, with \$1.242 trillion in total assets under management, or AUM, including \$906.2 billion in fee-earning managed assets, at the end of September 2025. The company operates with scale in each of its major product lines: private equity (26% of fee-earning AUM and 33% of base management fees), real estate/real assets (31% and 35%), private credit (34% and 25%), and other alternatives (9% and 7%). Blackstone has also built out a large base of in-house executives, consultants, and advisors that have decades of industry experience and can revitalize a company or property through cost-cutting, acquisitions, or other strategic maneuvers.

With the alternatives industry so heavily weighted toward private equity (56% of industry AUM), and a lot of firms being US-centric, we've generally held Blackstone up as the prime example of what we'd like to see from a product diversification perspective, even if the firm could do a bit more, in our view, to expand its non-US operations. More importantly, Blackstone's diversified revenue streams (based on its fee-earning AUM and geographic reach) have kept its base management fee revenue and fee-related earnings fairly stable as they have expanded over the years. On top of that, the company is currently earning 50% more in fee-related revenue and earnings than each of its three largest peers—Brookfield Asset Management, Apollo Global Management, and KKR & Company.

With customer demand for alternatives expected to stay elevated and investors in alternative assets looking to limit the number of providers they use, large-scale players like Blackstone are advantaged, not only when it comes to fundraising but during deployments and realizations. While activity levels for these three activities have been muted since 2022 (when the Federal Reserve started raising short-term rates), Blackstone did pick up \$148.5 billion in new assets through fundraising during 2023, \$171.5 billion in 2024, and \$167.9 billion so far in 2025, speaking to the firm's ability to raise capital even in more difficult market environments.

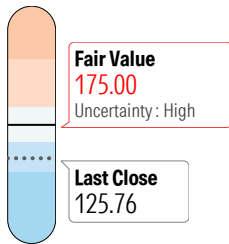
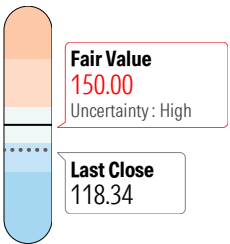
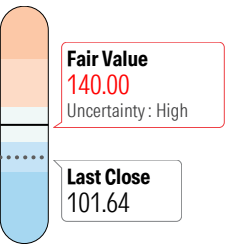
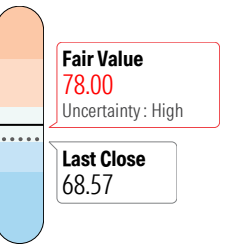
Bulls Say Gregory Warren, CFA, Senior Equity Analyst, 7 Nov 2025

- Blackstone, with \$906.2 billion in fee-earning AUM at the end of September 2025, is a go-to firm for institutional and high-net-worth investors looking for exposure to alternatives.
- Blackstone's ever-increasing scale, diversified product offerings, record of solid investment performance, and strong client relationships position the firm to perform well in a variety of market

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Competitors

	Blackstone Inc BX	Apollo Global Management Inc APO	KKR & Co Inc Ordinary Shares KKR	Brookfield Ass...ares - Class A BAM
	 Fair Value 175.00 Uncertainty: High Last Close 125.76	 Fair Value 150.00 Uncertainty: High Last Close 118.34	 Fair Value 140.00 Uncertainty: High Last Close 101.64	 Fair Value 78.00 Uncertainty: High Last Close 68.57
Economic Moat	Wide	Narrow	Narrow	Narrow
Currency	USD	USD	USD	CAD
Fair Value	175.00 7 Nov 2025 17:10, UTC	150.00 24 Nov 2025 21:02, UTC	140.00 16 Sep 2025 17:35, UTC	78.00 17 Nov 2025 05:44, UTC
1-Star Price	271.25	232.50	217.00	120.90
5-Star Price	105.00	90.00	84.00	46.80
Assessment	Undervalued 19 Feb 2026	Undervalued 19 Feb 2026	Undervalued 19 Feb 2026	Fairly Valued 19 Feb 2026
Morningstar Rating	★★★★★ 19 Feb 2026 22:33, UTC	★★★★★ 19 Feb 2026 22:47, UTC	★★★★★ 19 Feb 2026 22:42, UTC	★★★ 19 Feb 2026 23:22, UTC
Analyst	Greggory Warren, Senior Equity Analyst	Greggory Warren, Senior Equity Analyst	Greggory Warren, Senior Equity Analyst	Greggory Warren, Senior Equity Analyst
Capital Allocation	Standard	Standard	Standard	Standard
Price/Fair Value	0.72	0.79	0.73	0.88
Price/Sales	6.60	2.61	5.06	16.64
Price/Book	11.37	3.16	3.33	9.06
Price/Earning	32.50	14.29	22.19	33.14
Dividend Yield	3.77%	1.72%	0.73%	3.55%
Market Cap	98.49 Bil	68.52 Bil	90.61 Bil	110.57 Bil
52-Week Range	115.66—190.09	102.58—161.17	86.15—153.87	59.16—88.12
Investment Style	Large Blend	Mid Blend	Large Blend	Large Value

conditions.

- ▶ Less than 2% of Blackstone's large real estate investment portfolio is invested in traditional US offices, with sectors like logistics, student housing, and data centers making up most of its AUM.

Bears Say Greggory Warren, CFA, Senior Equity Analyst, 7 Nov 2025

- ▶ Downturns in the equity and credit markets could leave potential investors in Blackstone's funds with limited liquidity and large commitments to other funds, making it more difficult for the firm to raise new capital.
- ▶ Private equity and real estate are both highly cyclical and heavily reliant upon market-timing and exits to generate incentive income.
- ▶ Competition for new investor capital is likely to increase as more traditional asset managers like BlackRock increase their exposure to alternatives and are willing to be more fungible on fees.

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Economic Moat Gregory Warren, CFA, Senior Equity Analyst, 7 Nov 2025

We believe the asset-management business can be conducive to the development of economic moats. Unlike traditional asset managers like BlackRock, T. Rowe Price, and Franklin Resources, which focus more on traditional asset classes like equity, fixed-income, balanced and money market funds, alternative-asset managers like Blackstone deal with less-liquid alternative investments like private equity, credit alternatives, real estate, and hedge funds. Even so, we think traditional and alternative-asset managers both benefit from switching costs (the core moat source) and intangible assets, which include organizational attributes—such as product mix, distribution channel strength, and geographic reach—and true intangibles—like strong and respected brands and manager reputations derived from successful records of investment performance—that can explain why an asset manager varies from the switching cost advantage inherent in the industry.

Blackstone has, in our view, built a superior position in the industry, utilizing its reputation, broad product portfolio, investment performance record, and a cadre of dedicated professionals to raise massive amounts of capital and maintain the reputation it has built for itself as a go-to firm for institutional and high-net-worth investors looking for exposure to alternative assets. During the past five (10) years, Blackstone has produced adjusted returns on invested capital that have been 1,300 (1,200) basis points above our estimated cost of capital for the company. We expect the firm to continue to expand its level of excess returns over the next 5-10 years (given the level of interest that still exists for alternatives and the potential for the retail market, a large untapped market for alternative assets, to open up gradually to the alternative asset managers). While we see more potential headwinds than tailwinds during years 10-20, as increased competition from peers (including some of the more traditional asset managers) continued pressure on fees, and a general maturing of the industry (from what has been a solid period of above-average growth in the face of shifting investor demand for alternatives) ultimately weigh on results, we expect the firm to continue to outearn our cost of capital.

Unlike the more-traditional asset managers, which have had to rely on investor inaction (driven by either good fund performance or investor inertia/uncertainty) to keep annual redemption rates low (generally 20%-30% for long-term AUM), the products offered by alternative-asset managers tend to have lockup periods that prevent investors from redeeming part or all of their investment for a prolonged period. Generally, we favor longer lockup periods, which offer up more substantial switching costs than those enjoyed by the traditional asset managers, with private equity, venture capital, and real estate/real asset funds tending to have the longest lockup periods of 7-12 years. As for private credit funds, closed-end funds have lockup periods in a 5-to-8-year range, while evergreen funds (aka open-end funds) can be structured to offer more liquidity given that they have no fixed end date. These types of arrangements have allowed Blackstone to post an annual retention rate of 94% (93%) on average annually for the past five (10) years, even with about one-third of its total and fee-earning AUM tied up

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in products that are redeemable on a quarterly basis.

We believe the alternative-asset managers, much like traditional asset managers, can improve on the switching cost advantage inherent in their business with organizational attributes (such as product mix, distribution and geographic reach) and intangible assets (such as strong and respected brands and manager reputations derived from successful, maintainable records of investment performance) and provide them with a degree of differentiation from their peers. While the barriers to entry are not all that significant for the industry, the barriers to success are extremely high as it not only takes time and skill to put together a long enough record of investment performance to start gathering assets but even more time to build the scale necessary to be competitive (exemplified by the fact that BlackRock is the only legitimate traditional asset manager of size competing in this part of the market despite the fact that most of our coverage has been focused on building out alternative-asset manager offerings during much of the past decade).

This scenario has given larger, more established asset managers an advantage over the smaller providers, especially when it comes to gaining cost-effective access to distribution platforms as well as handling many of the operational improvements now required to drive value creation in private equity and real estate portfolios. The publicly traded alternative-asset managers are global institutions with decades of experience investing in nontraditional asset classes, primarily by managing money for private and public pension funds, endowments, foundations, and other institutions, as well as for high-net-worth individuals that qualify as "sophisticated investors" (those with sufficient capital, experience and net worth to engage in these less liquid investment opportunities that generally require high minimum investments on the part of investors). Most of the industry's largest players started off in private equity but have expanded their reach over time to include credit, real estate, hedge funds, and funds of hedge funds. Being more broadly diversified and having a solid investment performance record has enhanced Blackstone's switching cost advantage, in our view.

Blackstone, which we believe has a wide economic moat, has gone from being a pioneer in the alternative-asset management industry more than three decades ago to the largest stand-alone alternative-asset manager in the world at the end of September 2025, with \$1.242 trillion in total AUM, including \$906.2 billion in fee-earning AUM. Blackstone operates with scale in each of its major product lines—private equity (with \$395.6 billion in total AUM and \$235.0 billion in fee-earning AUM), real estate/real assets (\$320.5 billion/\$282.6 billion), private credit and insurance (\$432.3 billion/\$305.2 billion), and multi-asset investing (\$93.3 billion/\$83.4 billion)—and distribution channel—institutional (84% of total AUM) and high-net-worth (16%)—where it competes, with a global reach that includes 25 offices in the Americas, Europe/Middle East, and the Asia-Pacific region. Blackstone has also built out a large base of employees—including in-house executives, consultants, and advisors—that have decades of industry experience and can revitalize a company through cost-cutting, acquisitions, or other strategic maneuvers, increasing the chance of producing a successful investment.

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All these attributes have provided Blackstone with the ability to not only gather assets but a means of differentiating itself from peers. During the past five years, an overwhelming majority of the capital invested in alternative assets was held in private equity/venture capital funds (61% of industry capital on average), with the remainder held in private debt (11%), real estate/real asset (18%), and other alternatives (10%) offerings. Blackstone, in our view, continues to use its scale and diversification across alternative asset classes to raise more capital than its peers, aided by the access it has to the more than 1,000 institutional investors that are already invested in its funds. The company was the largest fundraiser among stand-alone publicly traded alternative-asset managers during the past decade, pulling in just \$1.418 trillion with its private equity (\$337.8 billion), private debt (\$548.7 billion), real estate/real asset (\$418.8 billion), and other alternative funds (\$112.7 billion) during 2015-24.

The company accounted for 20% (18%) of the industry's private debt segment fundraising during the past five (10) years, 20% (14%) of new commitments for real estate/real asset funds, 5% (4%) of the capital being raised for private equity/venture capital funds, and 6% (7%) of fundraising in the other alternatives category. Overall, Blackstone accounted for 11% (10%) of total new commitments to alternative products during 2020-24 (2015-24). On top of that, looking back over the past decade, Blackstone has raised nearly as much capital as its two largest stand-alone competitors—Brookfield and Apollo—combined. The firm also raised nearly as much as the next three largest stand-alone peers—KKR, Ares, and Carlyle Group—when looked at on a combined bases during the same period(s).

Competition for investor capital can be stiff and has traditionally centered on manager reputation, fund size, and investment performance. In a sign that fundraising competition has intensified in the past 15 years, there was a five-year period following the 2008-09 financial crisis where Blackstone raised more capital than its next four largest peers—Apollo Group, KKR, Ares, and Carlyle Group—combined (compared with its two largest stand-alone competitors in the past five years). We expect competition for new investor capital will only increase, especially with more-traditional asset managers like BlackRock increasing their exposure to alternatives and showing a willingness to be fungible on fees, given that management and performance fees in this part of the market are significantly higher than what most traditional asset managers earn with their core product offerings.

Fair Value and Profit Drivers Gregory Warren, CFA, Senior Equity Analyst, 7 Nov 2025

We've increased our fair value estimate for Blackstone to \$175 per share from \$165 to account for revised near-term expectations for AUM, revenue, and profitability since our last update. Our new fair value estimate implies a price/earnings multiple of 31.2, 25.7, and 20.8 times our 2025, 2026, and 2027 estimates for distributable earnings per share, respectively. For some perspective, during the past five (10) years, the shares have traded at an average of 27.3 (21.2) times trailing earnings on an adjusted basis, with the highest (lowest) multiple during the past decade being 42.5 (8.5) times. We use a 21% US

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statutory corporate tax rate and a 9% cost of equity in our valuation.

Consistent with other alternative asset managers, we view fundraising, deployments, realizations, fee-earning AUM, base management fee levels, realized performance fees, and compensation costs as key drivers of our valuation for Blackstone. Considering these drivers in sequence, the company's total fundraising through the first nine months of 2025 was \$167.9 billion, close to full-year fundraising efforts last year of \$171.5 billion. This left the firm on course to raise around \$220 billion in new capital in 2025. We expect Blackstone to raise around \$225 billion in new capital annually on average during 2026-29.

Blackstone also deployed \$96.0 billion during the first three quarters of 2025, below full-year deployment efforts last year of \$133.8 billion. While the firm is on pace to deploy around \$130 billion this year, we expect deployment levels to pick up with Blackstone putting \$150 billion to \$175 billion to work on average annually during 2026-29. As for realizations, the firm is on pace to see around \$100 billion in realizations this year, above 2024 levels of \$87.1 billion, with our expectations for future realizations being \$130 billion to \$140 billion on average annually during 2026-29.

Blackstone ended September 2025 with \$906.2 billion in fee-earning AUM, up 10.5% year over year, and had total managed assets of \$1.242 trillion, which was up 12.1% year over year. We see the firm closing 2025 with \$920.3 billion and \$1.256 trillion in fee-earning and total AUM, respectively. Over the next four-plus years, we expect Blackstone's fee-earning and total AUM to reach \$1.308 trillion and \$1.718 trillion, respectively. As for fee levels, we expect to see modest levels of fee compression, with base management fees increasing at a 9.1% CAGR during 2025-29. Realized performance and incentive fees will continue to be constrained some, though, with total revenue expected to increase at a 7.4% rate annually on average during 2025-29.

While compensation costs averaged 40.0% of revenue the past five years, we see these expenses averaging 42%-43% of annual revenue during 2025-29. Distributable earnings (which remove the effects of unrealized activity) are likely to average \$8 billion to \$10 billion on average annually during our five-year forecast. Our current 2025, 2026, and 2027 distributable EPS estimates of \$5.29, \$6.43, and \$7.92, respectively, are based on our expectations for distributable earnings of \$6.4 billion, \$7.8 billion, and \$9.6 billion and reflect our outlook for not only fee-based earning growth but more normalized fundraising, deployment, and realization activity over time.

We project a bull-case fair value estimate of \$271 per share and a bear-case valuation of \$105 per share. The key factors affecting our scenario analysis include Blackstone's level of fee-earning AUM, its pricing power and realized performance fees, and its ability to continue to raise capital.

Our upside-case fair value estimate of \$271 per share implies a P/E multiple of 41.0, 33.7, and 27.4 times our 2025, 2026, and 2027 estimates for distributable earnings per share, respectively. This

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scenario assumes stronger equity market returns, capital-raising efforts, and realization levels than we are projecting in our base case. The net result is an 11.6% CAGR for base management fees during our five-year forecast period, with total revenue increasing at a 9.9% CAGR. Distributable earnings per share would also be 20%-25% higher on average annually.

Our downside-case fair value estimate of \$105 per share implies a P/E multiple of 24.8, 20.4, and 16.6 times our 2025, 2026, and 2027 estimates for distributable earnings per share, respectively. This scenario, in contrast with our base case, assumes weaker equity markets, lower levels of capital-raising, and lower levels of realizations due to unpalatable markets. The net result would be a 3.0% CAGR for base management fees during our five-year forecast, with total revenue increasing at a 1.9% CAGR during 2025-29. Distributable earnings would also be 20%-25% lower over the course of our projection period.

Risk and Uncertainty Gregory Warren, CFA, Senior Equity Analyst, 7 Nov 2025

Our High Morningstar Uncertainty Rating for Blackstone includes assessments of the firm's environmental, social, and governance issues. Blackstone's private equity and real estate/real asset investments are highly illiquid. Tightened credit conditions could limit the firm's ability to move into new investments, while weak economic conditions and difficult equity and credit markets could affect not only the value of Blackstone's investments but also its ability to cash out of these investments. The firm's real estate/real asset segment is also subject to the risks inherent in the ownership and operation of real estate and related businesses and assets.

Our fair value estimate anticipates modest annual reductions in base management and incentive/performance-based fees. Should fees be compressed at a far greater rate than we are anticipating, it would have a major impact on the firm. Poor investment performance can also affect revenue, profitability, and cash flows and potentially obligate the firm to repay carried interest earned in prior periods. It could also have a negative impact on the company's ability to raise new capital for future investment funds, given that limited partners typically recycle distributions from earlier funds into new ones.

Given its global footprint, the firm is exposed to cultural, economic, political, and currency risks, while further changes in relevant US and foreign tax laws, regulations and/or treaties could adversely affect Blackstone as well. While the company is at a lower risk of experiencing material financial impacts from ESG factors, its medium exposure to risks that are inherent to the industry, as well as its own operations, is complicated by its weaker corporate governance scores.

Capital Allocation Gregory Warren, CFA, Senior Equity Analyst, 7 Nov 2025

Chair and CEO Stephen Schwarzman co-founded Blackstone in 1985 and has been involved in all phases of the firm's development. Lines of succession have been relatively clear over the years, with

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Jonathan Gray (formerly head of the firm's real estate segment) succeeding Hamilton Evans "Tony" James as president and COO in February 2018. We believe Schwarzman and the other general partners at Blackstone have run the firm as effectively as possible in the years following the 2008-09 financial crisis, taking full advantage of the dislocation in the equity and credit markets to expand the company's operations—primarily in real estate and credit—thereby reducing the firm's exposure to the vagaries of the private equity market. While the firm did convert from a publicly traded partnership into a corporation in July 2019, Blackstone's partnership units continue to account for around 45% of total shares outstanding, with Schwarzman holding over half of that amount.

Our Capital Allocation Rating for Blackstone is Standard. This rating assesses management efficacy based on three key areas: balance sheet health, investment efficacy, and shareholder distributions. Given that a firm's financial health directly affects its ability to invest in future growth opportunities, return cash to shareholders, or even remain a going concern, it is important to pay attention to balance sheet strength. Asset managers have a high degree of revenue cyclicity and operating leverage (with results tending to be impacted by the vagaries of the markets) and are generally asset light. As such, they should not maintain more than low to moderate levels of financial leverage.

Blackstone, in our view, has maintained a sound balance sheet, highlighted by \$2.4 billion in cash and equivalents, \$8.6 billion in corporate investments, \$3.3 billion in general partner fund investments, \$6.5 billion in accrued performance revenue, and \$11.8 billion in long-dated debt (on a principal basis) on its books at the end of September 2025. The company has historically had low debt/total capital and debt/EBITDA levels, and we expect net debt/adjusted EBITDA (as well as to enterprise value) to remain very low. Just under 10% of the company's outstanding debt is due in the next three years.

Blackstone believes its ever-increasing scale, diversified business offerings, long record of investment performance, rigorous investment process, and strong client relationships position the firm to not only perform well in a variety of market conditions but expand its managed assets and add complementary businesses. The company's long-term strategy has been focused on the fundraising, investment, and realization phases of its private equity, real estate, credit (and insurance), hedge fund offerings, as well as returning capital to shareholders.

Fundraising has more recently shifted away from Blackstone's more traditional model of using finite-lived, long-dated funds to invest in underperforming companies and assets (using cost cuts and efficiency improvements to improve those operations while also lifting returns through the strategic use of debt) to a mix of both finite-lived, long-dated funds and "perpetual capital" (funds with an indefinite term that is not in liquidation, and for which there is no requirement to return capital to investors through redemption requests in the ordinary course of business).

The company looks to deliver differentiated investments through new fund strategies (like the firm's efforts over the past several years with infrastructure, insurance, life sciences, and technology funds).

Blackstone's business heads have been encouraged to think more thematically about investing and

Blackstone Inc BX ★★★★★ 19 Feb 2026 22:33, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
125.76 USD 19 Feb 2026	175.00 USD 7 Nov 2025 23:10, UTC	0.72	98.49 USD Bil 19 Feb 2026	Wide	Large Blend	High	Standard	 7 Jan 2026 06:00, UTC

identify global trends (like logistics, life sciences, software, and digital payments more recently) where the firm can put money to work for the benefit of its limited partners (the institutional and retail investors that commit capital to their funds) and, ultimately, the firm's shareholders.

Share repurchases have been rare during the past decade, with the company repurchasing (net of issuances) just over \$4.4 billion of stock, most of which was bought back in the past seven calendar years. Dividend payments were a little over \$36.9 billion during the same time frame and are expected to account for 85% of distributable earnings annually going forward.

Analyst Notes Archive

Alternative Asset Managers: Highlighting Blackstone as Private-Credit Market Concerns Tank

Shares Gregory Warren, CFA, Senior Equity Analyst, 12 Feb 2026

Shares of the alternative asset managers we cover have declined in the past several weeks, with the group as a whole down 10% since the start of 2025 and also down more than 15% over the past year. Why it matters: Increased uncertainty about the equity and credit markets tied to fiscal, tariff, and monetary policies, as well as economic growth and increased concerns about the private credit market have weighed on the share prices of most of the alternative asset managers. The private credit heavy alternative asset managers—Apollo (86% of fee-earning assets and 72% of base fees), Ares (66% and 65%), Blue Owl (53% and 61%), and KKR (48% and 30%)—have been among the hardest hit, down 10%, 15%, 13%, and 16%, respectively, since the start of the year. While not immune from the real and perceived headwinds in the markets, Blackstone, with its more balanced product portfolio (with just 34% of fee-earning assets and 25% of base fees coming from its credit and insurance segment), has seen its shares decline 12% since the start of the year—no doubt because it is the industry leader and has tended to trade at the highest multiple in the group. Meanwhile, Brookfield, which benefits from a heavy bent toward real estate/real assets, and Carlyle Group, which was coming off a couple of years of weaker performance, have been affected the least, up 1.0% and down 2.4%, respectively, so far in 2026. The bottom line: With all these firms having reported solid fourth-quarter earnings, and little in their quarterly reports and conference calls that would alter our near- to medium-term views, we expect to leave our \$175, \$150, \$140, \$55, \$180, \$60, and \$18 per share fair value estimates for Blackstone, Apollo, KKR, Brookfield, Ares, Carlyle Group, and Blue Owl, respectively, in place.

Blackstone: The Firm's Shares Are Cheap After the Recent Selloff of the Alternative Asset Managers

Gregory Warren, CFA, Senior Equity Analyst, 4 Feb 2026

Blackstone's shares have struggled to gain ground due to the uncertainties created by fiscal, tariff, and monetary policies, as well as economic growth, and increased concerns about the private credit market. Shares were down 7.9% in 2025 and are down another 13.1% since the start of the year. Why it matters: Increased uncertainty about the equity and credit markets tied to fiscal, tariff, and monetary policies, as

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well as economic growth and increased concerns about the private credit market have tossed around the share prices of most of the alternative asset managers. Private credit heavy alternative asset managers, like Apollo (86% of fee-earning assets and 72% of base fees), Ares (66% and 65%), and Blue Owl (53% and 61%) are among the firms hit the hardest, although we note that KKR (48% and 33%) has also seen its share price decline precipitously during the past six months. While not immune from the real and perceived headwinds in the markets, Blackstone, with its more balanced product portfolio, has held up a bit better than others in the group. Meanwhile, Brookfield, which benefits from a heavy bent toward real estate/real assets, and Carlyle Group, which was coming off a couple of years of weaker performance, are the least affected. The bottom line: We reiterate our \$175 per share fair value estimate for wide-moat-rated Blackstone and view the shares as moderately undervalued, trading at a nearly 25% discount to our valuation. We expect Blackstone's fee-earning and total assets under management to reach \$1.308 trillion and \$1.718 trillion, respectively, at the end of 2029, with base management fees and total revenue increasing at a 9.1% and 7.4% CAGR, respectively, during 2025-29. We expect compensation expenses to average 42%-43% of annual revenue during the next five years, with distributable earnings (which remove the effects of unrealized activity) likely to average \$8 billion to \$10 billion annually during our five-year forecast.

Blackstone Earnings: Solid Quarter From the Alternative Asset Managers; Shares Modestly Undervalued Gregory Warren, CFA, Senior Equity Analyst, 29 Jan 2026

Blackstone ended December 2025 with \$922 billion in fee-earning assets under management, or AUM, up 1.7% sequentially and 11.0% year over year. Total revenue increased 41.4% year over year to \$4.4 billion in the quarter, while fee-related earnings declined 16.4% to \$1.5 billion. Why it matters: Blackstone continues to generate positive flows, with its mix of alternative products—through its real estate, private equity, multi-asset investing, and credit and insurance segments—benefiting from ongoing demand for nontraditional products. The firm picked up \$71 billion from fundraising efforts during the third quarter, above its quarterly run rate of \$49 billion in the previous eight calendar quarters. Blackstone also deployed \$42 billion during the period, above its quarterly run rate of \$33 billion over the past two years. Reported realizations of \$46 billion were well above the firm's quarterly run rate of \$23 billion in the previous eight calendar quarters. Going forward, we expect more conducive capital markets will lead to above-average levels of realizations, further supporting ongoing fundraising and deployment efforts. The bottom line: With \$1.275 trillion in total AUM, Blackstone remains the largest alternative asset manager in the world. Effective fundraising, deployment, and realization activity have allowed the firm to continue to grow organically, despite the more volatile markets we've seen during the past five years. As there was little in wide-moat-rated Blackstone's fourth-quarter results that would alter our long-term view of the firm, we expect to leave our \$175 per share fair value estimate in place. Blackstone's shares are modestly undervalued right now relative to our fair value estimate. We continue to recommend that investors look for a 15% discount to our fair value estimate

Blackstone Inc BX ★★★★★ 19 Feb 2026 22:33, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
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before considering the shares.

Blackstone: Raising Moat Rating to Wide for This Bellwether of the Private Capital Markets Gregory Warren, CFA, Senior Equity Analyst, 7 Nov 2025

We consider Blackstone to be the preeminent alternative-asset manager. The company operates with scale in each of its major product lines and has a fair amount of geographic diversification. The bottom line: We've raised our moat rating for Blackstone to wide from narrow, recognizing its superior position relative to the rest of the publicly traded alternative asset managers. Our fair value estimate for Blackstone is \$175 per share, with the company's shares looking modestly undervalued right now relative to our estimate. We've also affirmed our High Morningstar Uncertainty Rating and Standard Capital Allocation Rating for Blackstone. Long view: We consider Blackstone to be the preeminent alternative-asset manager, utilizing its scale, broad product portfolio, investment performance record, and cadre of dedicated professionals to not only raise more capital than its peers but to maintain its reputation as the go-to firm for institutional and high-net-worth investors looking for exposure to alternative assets. Blackstone's diversified revenue streams (based on its fee-earning AUM) have kept base management fee revenue and fee-related earnings fairly stable even as the firm has grown over the years. The company was the largest fundraiser among the publicly traded alternative-asset managers during the past decade, pulling in \$1.418 trillion with its private equity (\$337.8 billion), private debt (\$548.7 billion), real estate/real asset (\$418.8 billion), and other alternative funds (\$112.7 billion) during 2015-24. Key stats: Blackstone accounted for 18% of the industry's private debt segment fundraising during the past 10 years, 14% of new commitments for real estate/real asset funds, 4% of the capital being raised for private equity/venture capital funds, and 7% of fundraising in the other alternatives category. Altogether, the firm accounted for 10% of total new commitments to alternative products during 2015-24.

Blackstone Earnings: Shares Sell Off Despite Solid Results; Fair Value Estimate Remains at \$165

Gregory Warren, CFA, Senior Equity Analyst, 23 Oct 2025

Blackstone ended September with \$906.2 billion in fee-earning assets under management, up 2.2% sequentially and 10.5% year over year. Total revenue declined 15.7% year over year to \$3.1 billion during the third quarter, with fee-related earnings increasing 26.0% to \$1.5 billion. Why it matters: Blackstone continues to generate positive flows as its mix of alternative products—through its real estate, private equity, multi-asset investing, and credit and insurance segments—benefits from ongoing demand for nontraditional products. The firm picked up \$54 billion from fundraising efforts during the third quarter, above its quarterly run rate of \$45 billion in the previous eight calendar quarters. Blackstone also deployed \$27 billion during the period, below its quarterly run rate of \$31 billion over the past two years but still solid on a year-to-date basis. Reported realizations of \$31 billion were well above the quarterly run rate of \$21 billion in the previous eight calendar quarters. Going forward, more-conducive capital

Blackstone Inc BX ★★★★★ 19 Feb 2026 22:33, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
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markets should lead to great realizations, further supporting ongoing fundraising and deployment efforts. The bottom line: With \$1.242 trillion in total AUM, Blackstone remains the largest alternative asset manager in the world. Effective fundraising, deployment, and realization activity has allowed the firm to continue to grow organically, despite the more volatile market environment of late. As there was little in third-quarter results that would alter our long-term view of narrow-moat-rated Blackstone, we expect to leave our \$165 fair value estimate in place. The shares are slightly undervalued relative to our fair value estimate, even after the selloff on continued market concerns about the private credit market. We recommend investors look for a 15% discount to our fair value estimate before considering the shares.

Blackstone: Raising Fair Value Estimate on Improved Near-Term Outlook Gregory Warren, CFA, Senior Equity Analyst, 29 Aug 2025

We consider Blackstone to be the preeminent alternative-asset manager, with \$1.211 trillion in total assets under management, including \$887 billion in fee-earning assets under management, at the end of June 2025. Why it matters: Blackstone continues to generate positive flows, with its mix of alternative products—through its real estate, private equity, multi-asset investing, and credit and insurance segments—benefiting from ongoing demand for nontraditional products. The company has scale in all four of the main alternative business segments: private equity (26% of fee-earning AUM and 32% of base management fees), real estate (32% and 36%), credit and insurance (33% and 25%), and multi-asset investing (9% and 7%). Blackstone has also built out a large base of employees—including in-house executives, consultants, and advisors—that have decades of industry experience and can revitalize a company or property through cost-cutting, acquisitions, or other strategic maneuvers. The bottom line: Management had been encouraged coming into 2025 about the combination of a healthy US economy, historically tight financing spreads, greater debt availability, the prospects of a more business-friendly regulatory climate, and accelerating technological innovations. While there was some pullback on expectations in the first half of the year, we believe that the next 12 to 18 months will be far better, with our expectations for distributable earnings rising to \$6.4 billion, \$8.0 billion, and \$9.9 billion, respectively, during 2025, 2026, and 2027. As a result, we have raised our fair value estimate for narrow-moat-rated Blackstone to \$165 per share from \$145. Blackstone's shares are slightly overvalued relative to our revised fair value estimate. We recommend that investors look for a 15% discount to our fair value estimate before considering the shares. ■■■

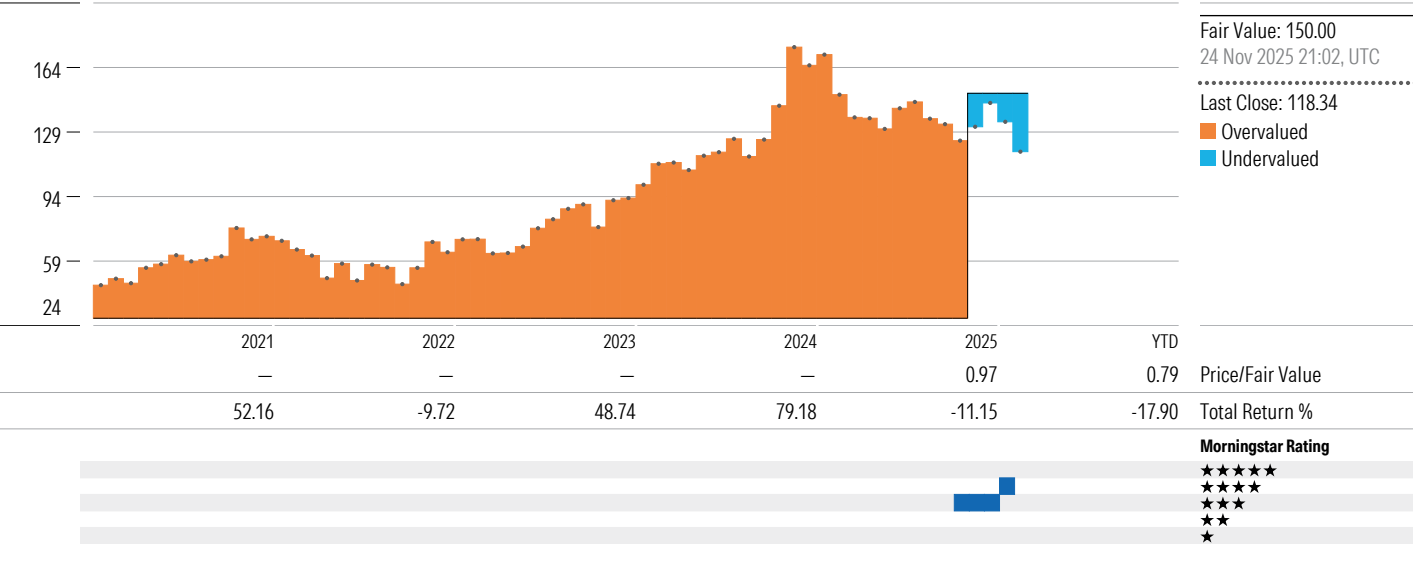
Blackstone Inc

BX★★★★

19 Feb 2026 22:33, UTC

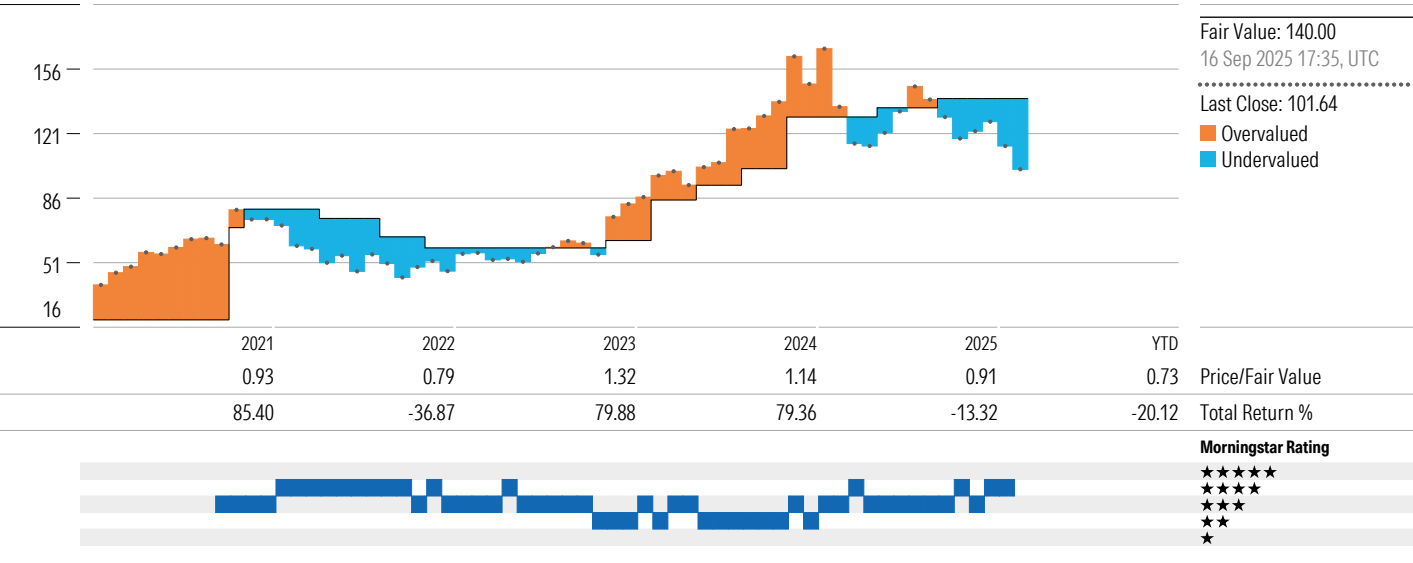
Competitors Price vs. Fair Value

Apollo Global Management Inc



Total Return % as of 19 Feb 2026. Last Close as of 19 Feb 2026. Fair Value as of 24 Nov 2025 21:02, UTC.

KKR & Co Inc Ordinary Shares



Total Return % as of 19 Feb 2026. Last Close as of 19 Feb 2026. Fair Value as of 16 Sep 2025 17:35, UTC.

Blackstone Inc

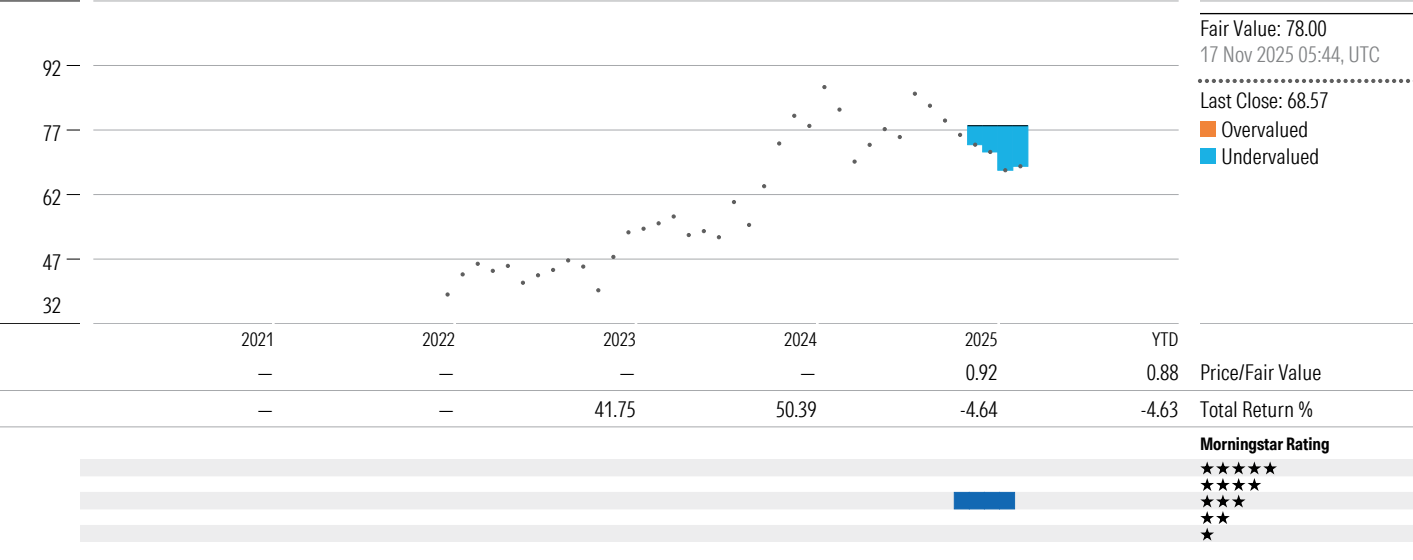
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19 Feb 2026 22:33, UTC

Competitors Price vs. Fair Value

Brookfield Asset Management Ltd Ordinary Shares - Class A

BAM



Total Return % as of 19 Feb 2026. Last Close as of 19 Feb 2026. Fair Value as of 17 Nov 2025 05:44, UTC.

Blackstone Inc BX ★★★★★ 19 Feb 2026 22:33, UTC

Last Price 125.76 USD 19 Feb 2026	Fair Value Estimate 175.00 USD 7 Nov 2025 23:10, UTC	Price/FVE 0.72	Market Cap 98.49 USD Bil 19 Feb 2026	Economic Moat™ Wide	Equity Style Box Large Blend	Uncertainty High	Capital Allocation Standard	ESG Risk Rating Assessment¹ 7 Jan 2026 06:00, UTC
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Morningstar Valuation Model Summary

Financials as of 06 Nov 2025

Fiscal Year, ends 31 Dec	Actual			Forecast				
	2022	2023	2024	2025	2026	2027	2028	2029
Revenue (USD Mil)	8,518	8,023	13,230	12,770	16,160	18,424	16,943	18,935
Operating Income (USD Mil)	3,862	3,474	6,854	6,366	7,993	8,797	5,943	8,194
EBITDA (USD Mil)	3,998	3,608	6,989	6,453	8,068	8,871	6,014	8,262
Adjusted EBITDA (USD Mil)	7,810	6,255	7,220	7,424	8,585	10,589	11,296	12,451
Net Income (USD Mil)	6,633	5,061	5,967	6,694	7,930	9,865	10,655	11,720
Adjusted Net Income (USD Mil)	6,233	4,791	5,667	6,444	7,805	9,590	10,906	12,048
Free Cash Flow To The Firm (USD Mil)	10,045	5,471	3,936	8,289	7,417	8,153	6,709	12,483
Weighted Average Diluted Shares Outstanding (Mil)	1,205	1,214	1,220	1,219	1,214	1,211	1,207	1,205
Earnings Per Share (Diluted) (USD)	5.51	4.17	4.89	5.49	6.53	8.15	8.82	9.73
Adjusted Earnings Per Share (Diluted) (USD)	5.17	3.95	4.65	5.29	6.43	7.92	9.03	10.00
Dividends Per Share (USD)	4.40	3.35	3.95	4.48	5.31	6.61	7.14	7.85

Margins & Returns as of 06 Nov 2025

	3 Year Avg	Actual			Forecast					5 Year Avg
		2022	2023	2024	2025	2026	2027	2028	2029	
Operating Margin %	46.8	45.3	43.3	51.8	49.9	49.5	47.8	35.1	43.3	45.1
EBITDA Margin %	—	46.9	45.0	52.8	50.5	49.9	48.2	35.5	43.6	—
Adjusted EBITDA Margin %	—	91.7	78.0	54.6	58.1	53.1	57.5	66.7	65.8	60.2
Net Margin %	62.0	77.9	63.1	45.1	52.4	49.1	53.6	62.9	61.9	56.0
Adjusted Net Margin %	58.6	73.2	59.7	42.8	50.5	48.3	52.1	64.4	63.6	55.8
Free Cash Flow To The Firm Margin %	72.0	117.9	68.2	29.8	64.9	45.9	44.3	39.6	65.9	52.1

Growth & Ratios as of 06 Nov 2025

	3 Year CAGR	Actual			Forecast					5 Year CAGR
		2022	2023	2024	2025	2026	2027	2028	2029	
Revenue Growth %	-16.3	-62.3	-5.8	64.9	-3.5	26.6	14.0	-8.0	11.8	7.4
Operating Income Growth %	-19.8	-71.0	-10.1	97.3	-7.1	25.6	10.1	-32.4	37.9	3.6
EBITDA Growth %	4.6	-70.2	-9.8	93.7	-7.7	25.0	10.0	-32.2	37.4	6.5
Adjusted EBITDA Growth %	0.2	8.8	-19.9	15.4	2.8	15.6	23.3	6.7	10.2	11.5
Earnings Per Share Growth %	-1.6	7.3	-24.3	17.3	12.3	18.9	24.8	8.3	10.3	14.8
Adjusted Earnings Per Share Growth %	-1.6	8.4	-23.7	17.7	13.8	21.6	23.3	14.0	10.7	14.8

Valuation as of 06 Nov 2025

	Actual			Forecast				
	2022	2023	2024	2025	2026	2027	2028	2029
Price/Earning	14.4	33.1	37.1	23.8	19.6	15.9	13.9	12.6
Price/Sales	6.4	12.2	10.0	7.7	6.1	5.3	5.8	5.2
Price/Book	11.7	23.3	25.6	17.3	15.9	13.9	12.2	10.6
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	—	—	—	—	—	—	—	—
EV/EBIT	—	—	—	—	—	—	—	—
Dividend Yield %	5.9	2.6	2.3	3.6	4.2	5.3	5.7	6.2
Dividend Payout %	85.1	84.9	85.0	84.8	82.6	83.4	79.0	78.5
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 06 Nov 2025

Fiscal Year, ends 31 Dec	Actual			Forecast				
	2022	2023	2024	2025	2026	2027	2028	2029
ROA %	15.6	12.6	13.7	13.4	16.1	18.2	18.6	19.5
ROE %	33.7	28.0	30.6	30.2	36.6	40.3	39.9	42.7
ROIC %	22.3	19.6	24.1	20.7	25.2	27.8	19.7	23.4

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	2022	2023	2024	2025	2026	2027	2028	2029
Debt/Capital %	19.7	11.1	8.6	5.0	4.7	4.5	4.3	4.1
Assets/Equity	2.2	2.2	2.2	2.3	2.3	2.2	2.1	2.2
Net Debt/EBITDA	2.3	2.6	1.5	1.0	1.0	0.8	1.5	0.9
Total Debt/EBITDA	1.7	2.0	1.7	1.5	1.3	1.1	1.0	0.9
EBITDA/ Net Interest Expense	19.5	12.1	18.3	51.7	26.1	35.9	42.3	48.1

Forecast Revisions as of 7 Nov 2025	2025		2026		2027	
Prior data as of 29 Aug 2025	Current	Prior	Current	Prior	Current	Prior
Fair Value Estimate Change (Trading Currency)	175.00	165.00	—	—	—	—
Revenue (USD Mil)	12,770	12,544	16,160	16,297	18,424	18,585
Operating Income (USD Mil)	6,366	5,821	7,993	7,523	8,797	8,263
EBITDA (USD Mil)	7,424	7,108	8,585	8,683	10,589	10,708
Net Income (USD Mil)	6,444	6,145	7,805	7,902	9,590	9,810
Earnings Per Share (Diluted) (USD)	5.49	5.25	6.53	6.61	8.15	8.25
Adjusted Earnings Per Share (Diluted) (USD)	5.29	5.04	6.43	6.51	7.92	8.10
Dividends Per Share (USD)	4.48	4.26	5.31	5.35	6.61	6.65

Key Valuation Drivers as of 06 Nov 2025

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	8.6
Long-Run Tax Rate %	21.1
Stage II EBI Growth Rate %	8.0
Stage II Investment Rate %	24.0
Perpetuity Year	20

Additional estimates and scenarios available for download at <https://pitchbook.com/>.

Discounted Cash Flow Valuation as of 06 Nov 2025

	USD Mil
Present Value Stage I	64,214
Present Value Stage II	47,883
Present Value Stage III	77,681
Total Firm Value	189,778
Cash and Equivalents	9,853
Debt	10,752
Other Adjustments	13,306
Equity Value	202,185
Projected Diluted Shares	1,217
Fair Value per Share (USD)	175.00

Blackstone Inc BX★★★★★

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ESG Risk Rating Breakdown

Exposure

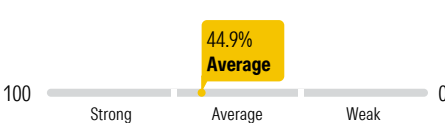
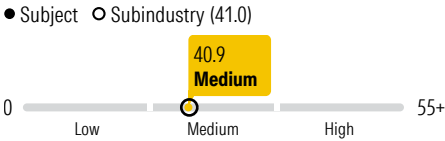
Company Exposure¹	40.9
- Manageable Risk	39.2
Unmanageable Risk²	1.7

Management

Manageable Risk	39.2
- Managed Risk³	17.6
Management Gap⁴	21.6

Overall Unmanaged Risk

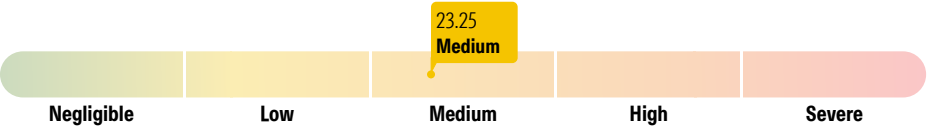
23.2



- ▶ Exposure represents a company's vulnerability to ESG risks driven by their business model
- ▶ Exposure is assessed at the Subindustry level and then specified at the company level
- ▶ Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- ▶ Management measures a company's ability to manage ESG risks through its commitments and actions
- ▶ Management assesses a company's efficiency on ESG programs, practices, and policies
- ▶ Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 44.9% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment⁵



ESG Risk Rating is of Jan 07, 2026. Highest Controversy Level is as of Feb 08, 2026. Sustainability Subindustry: Asset Management and Custody Services. Sustainability provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainability's scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 07 Jan 2026

Peers are selected from the company's Sustainability-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure	Management	ESG Risk Rating
Blackstone Inc	40.9 Medium 0 —●— 55+	44.9 Average 100 —●— 0	23.2 Medium 0 —●— 40+
Invesco Ltd	43.3 Medium 0 —●— 55+	53.7 Strong 100 —●— 0	21.1 Medium 0 —●— 40+
Apollo Global Management Inc	42.5 Medium 0 —●— 55+	51.3 Strong 100 —●— 0	21.6 Medium 0 —●— 40+
KKR & Co Inc	44.4 Medium 0 —●— 55+	49.4 Average 100 —●— 0	23.4 Medium 0 —●— 40+
Brookfield Asset Management Ltd	40.4 Medium 0 —●— 55+	60.3 Strong 100 —●— 0	17.1 Low 0 —●— 40+

Appendix

Historical Morningstar Rating

Blackstone Inc BX 19 Feb 2026 22:33, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★★	★★★	★★★	★★★	★★	★★★	★★★	★★★★	★★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★	★★	★★★	—	—	—	—	—	—	—	—

Apollo Global Management Inc APO 19 Feb 2026 22:47, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	—	—	—	—	—	—	—	—	—	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

KKR & Co Inc Ordinary Shares KKR 19 Feb 2026 22:42, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	—	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★	★★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	—	—	—	—	—	—	—	—	—

Brookfield Asset Management Ltd Ordinary Shares - Class A **BAM** 19 Feb 2026 23:22, UTC

Dec 2026 —	Nov 2026 —	Oct 2026 —	Sep 2026 —	Aug 2026 —	Jul 2026 —	Jun 2026 —	May 2026 —	Apr 2026 —	Mar 2026 —	Feb 2026 ★★★	Jan 2026 ★★★
Dec 2025 ★★★	Nov 2025 ★★★	Oct 2025 —	Sep 2025 —	Aug 2025 —	Jul 2025 —	Jun 2025 —	May 2025 —	Apr 2025 —	Mar 2025 —	Feb 2025 —	Jan 2025 —
Dec 2024 —	Nov 2024 —	Oct 2024 —	Sep 2024 —	Aug 2024 —	Jul 2024 —	Jun 2024 —	May 2024 —	Apr 2024 —	Mar 2024 —	Feb 2024 —	Jan 2024 —
Dec 2023 —	Nov 2023 —	Oct 2023 —	Sep 2023 —	Aug 2023 —	Jul 2023 —	Jun 2023 —	May 2023 —	Apr 2023 —	Mar 2023 —	Feb 2023 —	Jan 2023 —
Dec 2022 —	Nov 2022 —	Oct 2022 —	Sep 2022 —	Aug 2022 —	Jul 2022 —	Jun 2022 —	May 2022 —	Apr 2022 —	Mar 2022 —	Feb 2022 —	Jan 2022 —
Dec 2021 —	Nov 2021 —	Oct 2021 —	Sep 2021 —	Aug 2021 —	Jul 2021 —	Jun 2021 —	May 2021 —	Apr 2021 —	Mar 2021 —	Feb 2021 —	Jan 2021 —

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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a

long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working capital accounts, and capital spending. Based on these projections, we calculate earnings before interest,

after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

Margin of Safety		
Qualitative Analysis	★★★★★ Rating	★ Rating
Uncertainty Ratings		
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

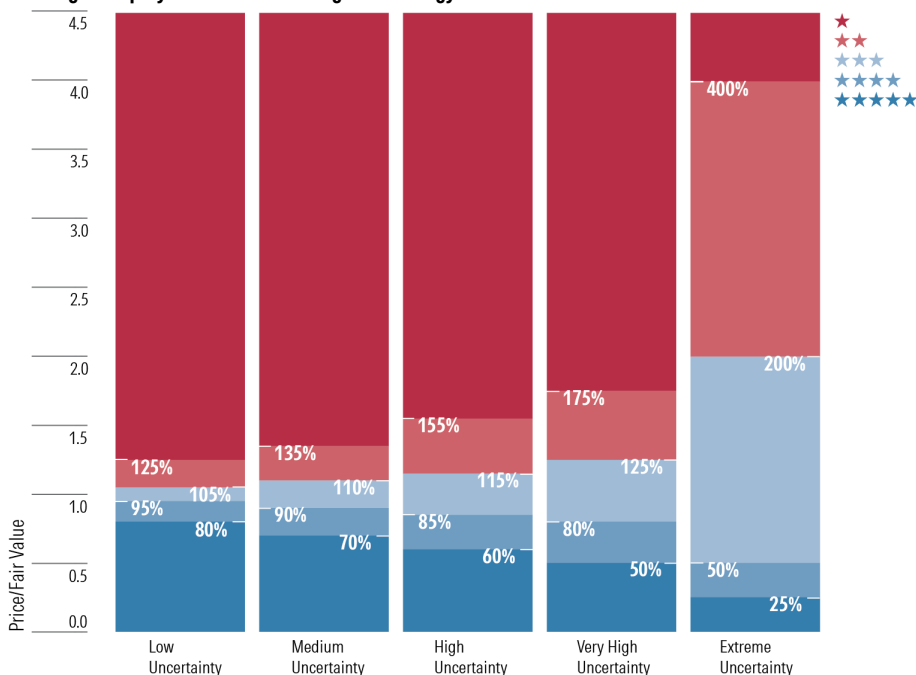
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to <https://shareholders.morningstar.com>

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multi-year time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score.

Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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